It is said so for the reason that the horizon of Economics has widened. Economics deals with scarce resources like diamonds and as well as resources like air, which available in plenty. It speaks about the prices of both. It points out the scarce nature of diamond as a reason for its high price and as air is available in plenty it is not priced. Adam Smith in his *Wealth of Nations* observes, "The things which have the greatest value in use have frequently little or no value in exchange; and, on the contrary, those which have the greatest value in exchange have frequently little or no value in use. Nothing is more useful than water: but it will purchase scarce anything; scarce anything can be had in exchange for it. A diamond, on the contrary, has scarce any value in use; but a very great quantity of other goods may frequently be had in exchange for it."[1] He discusses about the exchange value of both water and diamond. The first one is available in plenty, the second one is scarce. So, it is clear that it studies both abundance and scarcity. The causes and effects of inflation that are related to abundance of money as well as scarcity or shortage of goods and services are also studied. From these premises it is clear that Economics studies both scarcity and abundance. But most part of the economic study is devoted to the study of scarcity, as human tendency is to care for scarce resources.

It is stated as a study that centres on resources for the reason that it not only studies resources but also the factors, stake holders involved in creation, extraction and consumption. It deals with the allocation of resources, allocation of factors of production, consumption pattern of factors of production, the motive and aim of factors of production, behaviour of factors of production and consumers and the psychology behind these motives and aims and behaviour and so many other things.

Factors of production refer to the participants in a production process. They are land, labour, capital and entrepreneur. The land is a base to establish the production unit, transportation and sometimes the source of raw material. Labour contributes her might physically and mentally. Capital is used to purchase men and material. An